EXECUTIVE BUSINESS REPORT

TASTYBITES PRODUCT PRICING & PROFITABILITY ANALYSIS

Comprehensive Financial Performance, Discount Optimization & Menu Strategy Analysis (March 2024 – February 2026)

PREPARED BY

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DEPARTMENT

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ANALYSIS PERIOD

March 2024 – February 2026 (2 Years)

REPORT DATE

July 2026 | Portfolio Edition



Project Objectives & Strategic Scope

Data-driven strategic initiatives to resolve profitability imbalances, optimize discount structures, and enhance product-level economics.

Identify High-Profit and Low-Profit Products

Analyze product- and category-level revenue, profit, and margin performance to identify key profit drivers and products with weaker profitability.

Understand the Impact of Discounts and Promotions on Profit Margins

Assess how discounting affects product and category profitability to identify where promotions support sales without putting unnecessary pressure on margins.

Recommend Promotions and Bundling Strategies to Improve Profitability

Develop targeted promotion and bundling opportunities that combine high-volume products with high-margin items to improve overall basket profitability.

Key KPIs Tracked:-

Total Revenue | Net Profit | Profit Margin | Average Order Value (AOV) | Units Sold | Discount Revenue Erosion

Executive Performance Dashboard

TOTAL REVENUE (2Y)

₹837.3K

1,100 Transactions Analyzed

NET PROFIT

₹299.1K

Robust Enterprise Yield

AVERAGE PROFIT MARGIN

35.7%

Benchmark Target: 35.0%

AVERAGE ORDER VALUE (AOV)

₹761.2

Returning AOV: ₹763.0

TOTAL UNITS SOLD

6,207

Across 10 Menu Items

DISCOUNT REVENUE EROSION

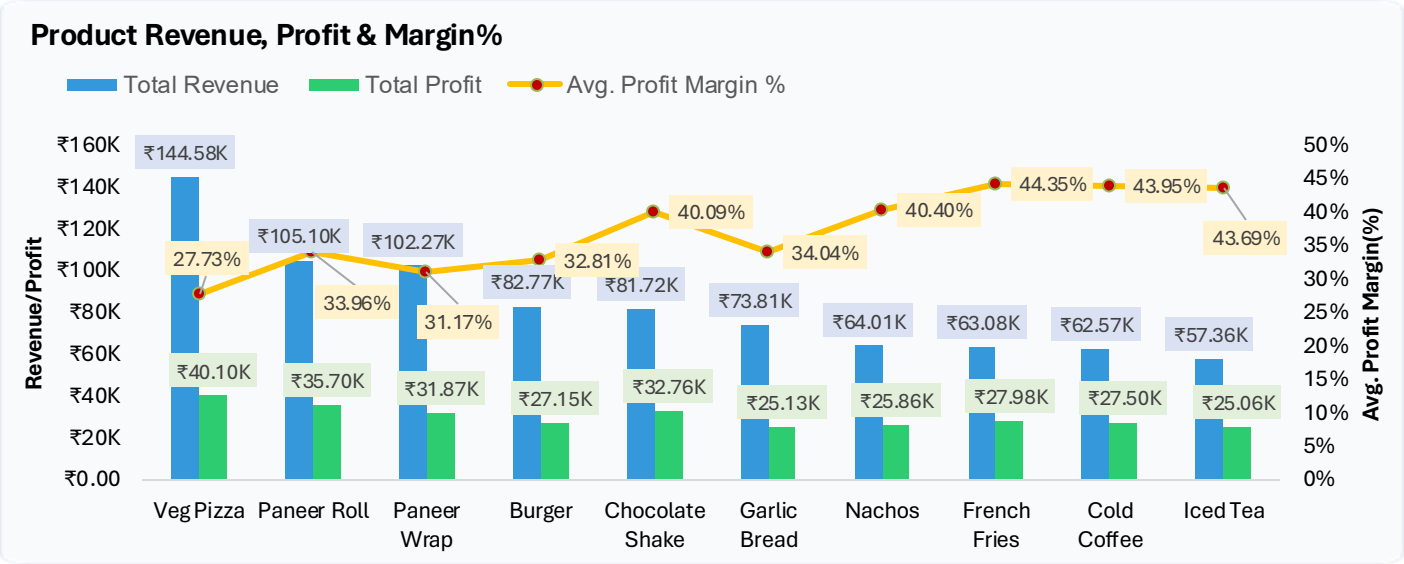
₹102.2K

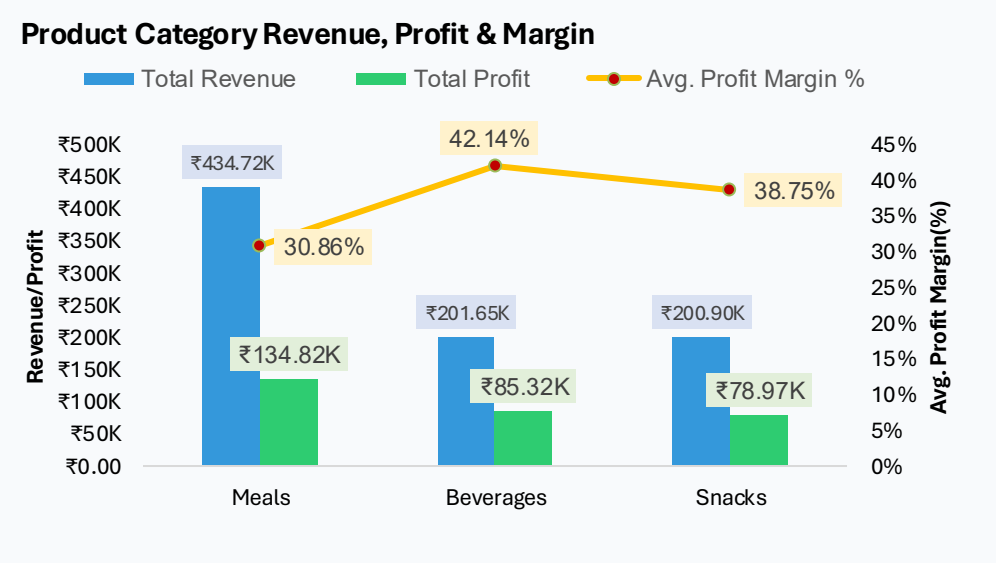
10.8% Avg Discount Rate

Analysis Flow:-

Product Category → Discount Impact → Volume vs Profitability → Pricing Opportunities → Promotion & Bundling → Seasonal → Payment Mode & Segmentation → Recommendation

Q1: Which Products And Categories Generate The Highest Revenue And Profit?





PROFIT CONCENTRATION

- ✓ The top 3 products contribute 36.3% of total profit, making them key drivers of TastyBites' profitability.
- ✓ **Implication:** Maintain strong pricing and availability for these core products.

MARGIN OPPORTUNITY

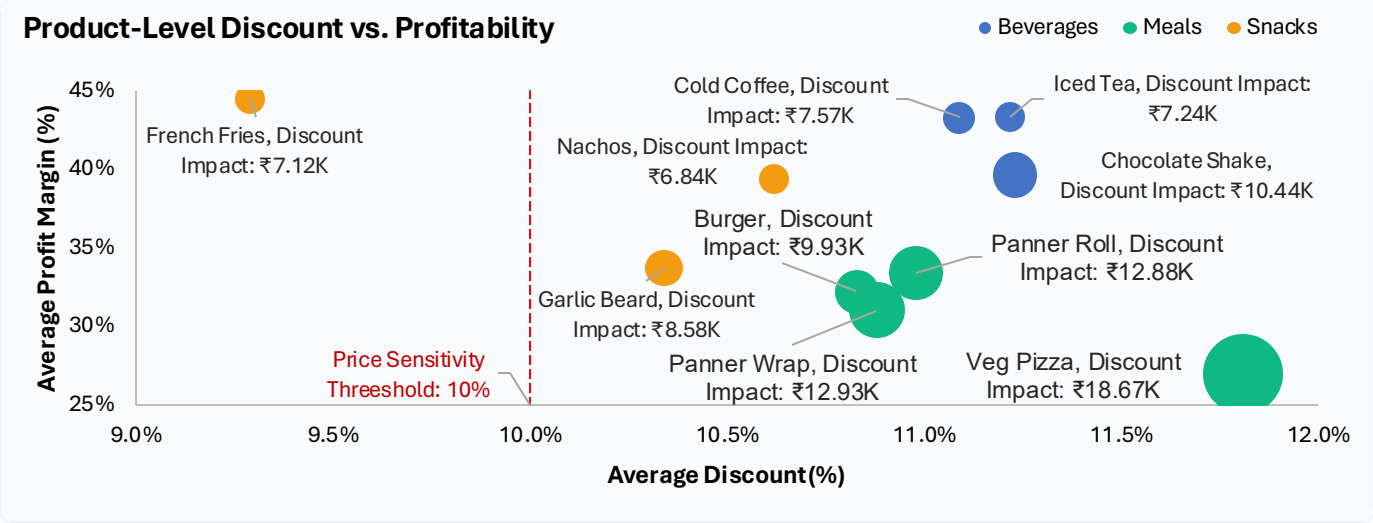
- ✓ Meals generate the highest revenue, but their 30.9% margin trails Beverages by over 11 percentage points.
- ✓ **Implication:** Improving Meal margins could deliver greater profit gains than pursuing additional volume alone.

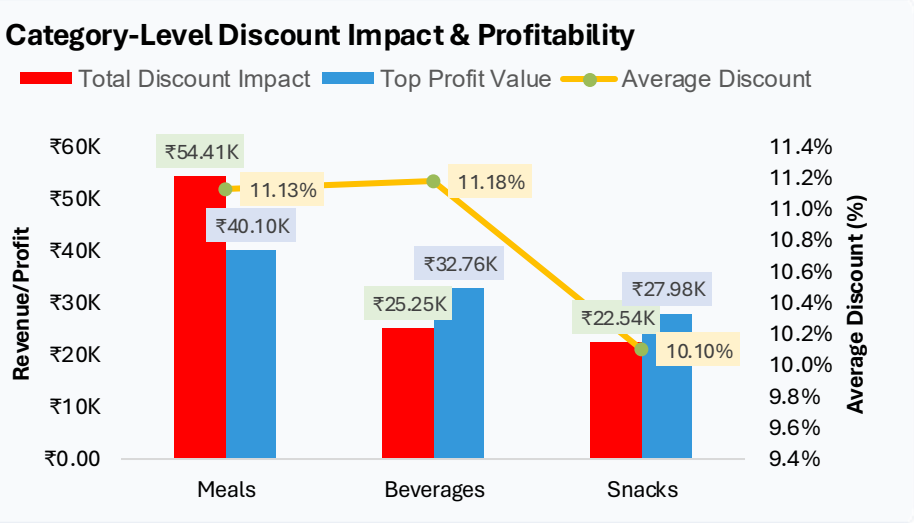
PRODUCT MIX OPPORTUNITY

- ✓ Beverages and Snacks generate 55% of total profit while contributing 48% of revenue, indicating stronger profit efficiency.
- ✓ **Implication:** Increase their visibility through targeted upselling and bundles.

EXECUTIVE TAKEAWAY: Meals drive scale, but Beverage's drive efficiency. Meals generate 52% of revenue but only 45% of profit, while Beverages achieve the highest 42.1% margin. At product level, the top 3 items (Veg Pizza, Paneer Roll, and Chocolate Shake) drive **36.3% of total company profit (₹108.9K).** However, Veg Pizza leads profit at ₹40.1K despite its low 27.7% margin, highlighting a key pricing opportunity.

Q2. How Do Discounts Affect Profitability At The Product And Category Level?





DISCOUNT IMPACT CONCENTRATION

- ✓ Meals absorb ~53% of total discount impact, driven by Paneer Wrap, Paneer Roll, Veg Pizza and Burger.
- ✓ Category margin is only ~30.8%, below Beverages (~42%).
- ✓ **Implication:** Focus discount optimization on high-impact Meal products.

MARGIN PRESSURE

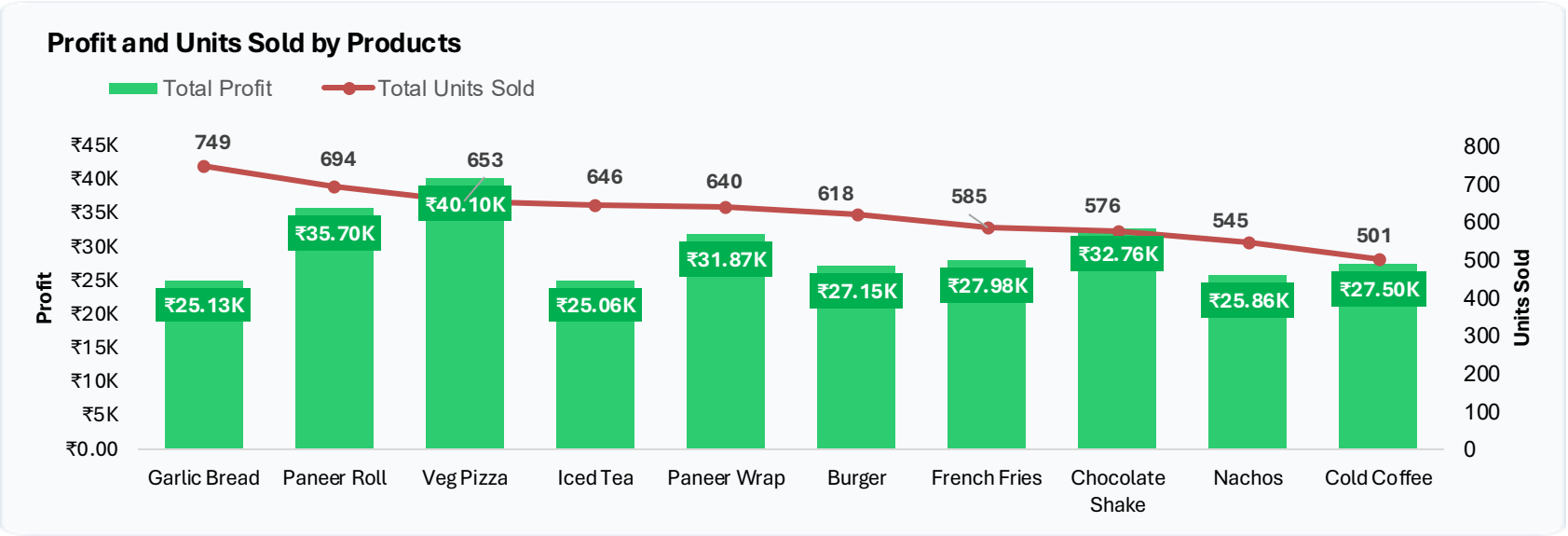
- ✓ Veg Pizza combines the highest discount (11.81%), lowest margin (27.73%) and highest discount impact (₹18.67K).
- ✓ French Fries, by contrast, achieves a 44.35% margin at only 9.29% discount.
- ✓ **Implication:** Reduce discount depth where margin erosion is greatest.

SELECTIVE DISCOUNTING

- ✓ ~11% discounts produce very different outcomes: Cold Coffee and Iced Tea retain ~43% margins, while Veg Pizza falls to 27.73%.
- ✓ This shows that discount effectiveness varies by product.
- ✓ **Implication:** Use the 10% threshold as a review trigger, not a blanket rule.

EXECUTIVE TAKEAWAY: Discount optimization should be product-led, not blanket-based — protect efficient promotions while tightening discounts on high-impact, low-margin products.

Q3. Are There Products That Sell A Lot But Contribute Very Little To Profit?



Product	Profit / Unit	Contribution to Total Profit
Garlic Bread	₹33.55	8.40%
Iced Tea	₹38.79	8.38%
Burger	₹43.93	9.08%
Nachos	₹47.45	8.65%
French Fries	₹47.83	9.35%
Paneer Wrap	₹49.80	10.66%
Paneer Roll	₹51.44	11.93%
Cold Coffee	₹54.89	9.19%
Chocolate Shake	₹56.88	10.95%
Veg Pizza	₹61.41	13.41%

VOLUME–PROFIT GAP

- ✓ Garlic Bread and Iced Tea rank among the highest in units sold but generate only **₹25.13K** and **₹25.06K** profit i.e., Profit of **₹33.55 per unit** and **₹38.79 per unit**, respectively.
- ✓ **Implication:** Review pricing, costs and promotional intensity for high-volume, low-profit products.

PROFIT EFFICIENCY

- ✓ Veg Pizza generates **₹61.41 profit/unit**, while Chocolate Shake generates **₹56.88/unit** despite lower sales volumes.
- ✓ **Implication:** Identify opportunities to increase visibility of high-margin products.

SAME VOLUME, DIFFERENT PROFIT

- ✓ Iced Tea sells **646 units**, almost identical to Veg Pizza's **653 units**, yet generates **₹15.04K less profit**.
- ✓ **Implication:** Sales volume alone should not determine product priorities.

Q4. Which Products Can Have Price Adjustments Without Impacting Sales Volume Significantly?

Note:- Historical unit prices remained fixed by product; therefore, price elasticity cannot be directly estimated. Candidate products are identified using demand consistency, profitability and discount-response patterns and should be validated through controlled price testing.

Product	Unit Price	Units Sold	Days Sold	Selling Frequency	Profit Margin	Avg. Discount	Price-Test Potential
Garlic Bread	₹110	749	123	21.6%	34.04%	10.48%	Candidate
Paneer Roll	₹170	694	111	19.5%	33.96%	11.06%	Candidate
Veg Pizza	₹250	653	108	18.9%	27.73%	11.81%	Margin Review
Burger	₹150	618	106	18.6%	32.81%	10.83%	Candidate
Iced Tea	₹100	646	104	18.2%	43.69%	11.22%	Candidate
Paneer Wrap	₹180	640	102	17.9%	31.17%	10.95%	Candidate
French Fries	₹120	585	99	17.4%	44.35%	9.29%	Monitor
Nachos	₹130	545	97	17.0%	40.40%	10.62%	Monitor
Cold Coffee	₹140	501	95	16.7%	43.95%	11.09%	Monitor
Chocolate Shake	₹160	576	92	16.1%	40.09%	11.23%	Monitor

SCREENING LOGIC

✓ Price-Test Candidate = ≥100 selling days + ≥30% profit margin
*Selling frequency = No. of Days Product Sold ÷ 570 × 100

5 PRODUCTS EMERGE AS PRICE-TEST CANDIDATES

✓ **Garlic Bread, Paneer Roll, Burger, Iced Tea and Paneer Wrap**
✓ These products were sold on 100+ days and maintained 30%+ profit margins, indicating a good combination of recurring demand and profitability.
✓ **Action**: Consider these products first for a small, controlled price test and monitor whether unit sales remain stable.

VEG PIZZA NEEDS MARGIN ATTENTION FIRST

✓ Veg Pizza sold on 108 days with 653 units, showing strong and recurring demand.
✓ However, its 27.73% margin is below the 30% benchmark, while its 11.81% average discount is the highest among all products.
✓ **Action:** Review discounting and margin performance before considering a price increase.

4 PRODUCTS NEED MORE DEMAND EVIDENCE

✓ **French Fries, Nachos, Cold Coffee and Chocolate Shake**
✓ All maintain 40%+ margins, but were sold on fewer than 100 days during the 2-year period.
✓ **Action:** Focus on building more consistent demand before testing price increases.

Q5. Recommend Promotions Or Bundling Strategies To Improve Overall Profitability.

🍞 Garlic Bread + 🧃 Iced Tea

Garlic Bread	Iced Tea
₹110	₹100
34.04%	43.69%

↓ COMBINED BUNDLE METRICS

₹210 COMBINED VALUE
38.64% MARGIN
₹81.13 BUNDLE PROFIT

749 units sold + high-margin beverage

→ Improve profit per order

🍔 Burger + 🍟 Fries + 🧃 Iced Tea

Burger	Fries	Iced Tea
₹150	₹120	₹100
32.81%	44.35%	43.69%

↓ COMBINED BUNDLE METRICS

₹370 COMBINED VALUE
39.49% MARGIN
₹146.13 BUNDLE PROFIT

High-volume meal + high-margin add-ons

→ Promote as complete-meal combo

🌯 Paneer Roll + ☕ Cold Coffee

Paneer Roll	Cold Coffee
₹170	₹140
33.96%	43.95%

↓ COMBINED BUNDLE METRICS

₹310 COMBINED VALUE
38.47% MARGIN
₹119.26 BUNDLE PROFIT

694 units sold + high-margin beverage

→ Cross-sell beverage with food

🍟 French Fries + ☕ Cold Coffee

French Fries	Cold Coffee
₹120	₹140
44.35%	43.95%

↓ COMBINED BUNDLE METRICS

₹260 COMBINED VALUE
44.13% MARGIN
₹114.75 BUNDLE PROFIT

Both products maintain 40%+ margins

→ Build demand without deep discounts

🧀 Nachos + 🧃 Chocolate Shake

Nachos	Chocolate Shake
₹130	₹160
40.40%	40.09%

↓ COMBINED BUNDLE METRICS

₹290 COMBINED VALUE
40.23% MARGIN
₹116.66 BUNDLE PROFIT

Both products maintain 40%+ margins

→ Build demand without heavy discounts

🍕 Veg Pizza + 🧃 Iced Tea

Veg Pizza	Iced Tea
₹250	₹100
27.73%	43.69%

↓ COMBINED BUNDLE METRICS

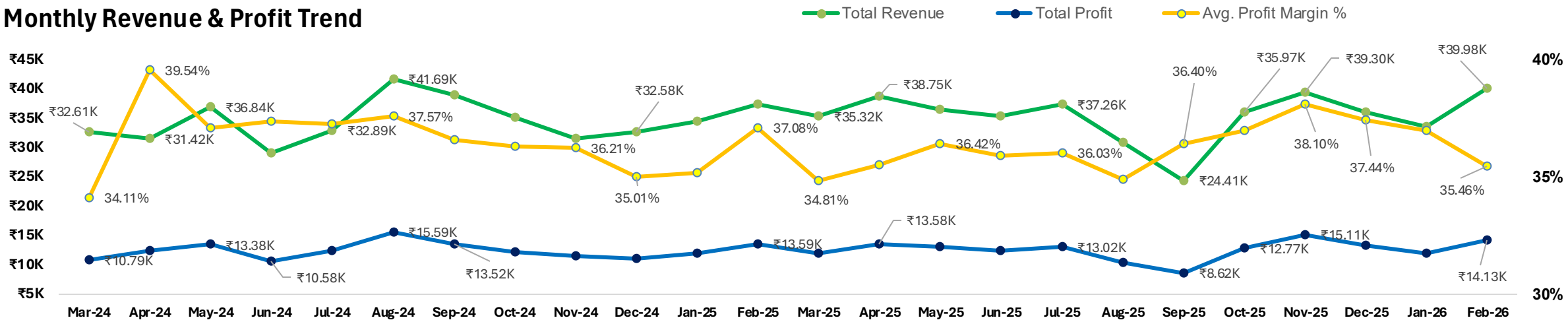
₹350 COMBINED VALUE
32.29% MARGIN
₹113.02 BUNDLE PROFIT

653 units + 11.81% average discount

→ Bundle cautiously; protect margin

Seasonal Demand Analysis

Monthly Revenue & Profit Trend



PEAK DEMAND

- ✓ **Aug-24:** Highest revenue (₹41.69K) and profit (₹15.59K).
- ✓ **Feb-26:** Revenue again reached ₹39.98K, indicating strong late-year/early-year demand.

STRONG PERFORMANCE

- ✓ **Nov-25:** Revenue ₹39.30K and profit ₹15.11K.
- ✓ **Action:** Push high-margin products and bundles during peak/festive periods.

SEPTEMBER SLOWDOWN

- ✓ **Sep-25:** Lowest revenue (₹24.41K) and profit (₹8.62K).
- ✓ **Action:** Use targeted promotions to stimulate demand during weaker periods.

MARGIN STABILITY

- ✓ Margins remained broadly within 34–40% despite revenue fluctuations.
- ✓ **Highest: 39.54% (Apr-24) | Lowest: 34.11% (Mar-24).**

EXECUTIVE TAKEAWAY: Demand is uneven across the year, with stronger performance around peak and festive periods and a noticeable September slowdown. TastyBites can use this pattern to time bundles and promotions—maximizing profitable products during high-demand periods and using targeted offers to stimulate weaker months.

Payment Mode & Customer Type Segment Analysis

Revenue, Profit Margin% & AOV by Payment Mode

UPI (Highest Margin) 36.1% Margin | AOV ₹804 | Profit: ₹73.4K | Units: 1,463 | Lowest Discount (10.2%)

Revenue: ₹203.45K

Wallet 36.0% Margin | AOV ₹719 | Profit: ₹74.8K | Units: 1,539 | Avg Discount (10.7%)

Revenue: ₹207.91K

Cash 35.7% Margin | AOV ₹793 | Profit: ₹71.6K | Units: 1,540 | Avg Discount (11.0%)

Revenue: ₹200.73K

Card (Highest Volume) 35.2% Margin | AOV ₹738 | Profit: ₹79.3K | Units: 1,665 | Highest Discount (11.4%)

Revenue: ₹225.18K

Customer Type Segmentation

NEW CUSTOMERS

₹406.08K

Net Revenue

48.6% Revenue Share

Net Profit:	₹145.42 K
AOV:	₹759.03
Units Sold:	2,994 Units
Orders:	535

RETURNING CUSTOMERS

₹431.92K

Net Revenue

51.4% Revenue Share

Net Profit:	₹153.69 K
AOV:	₹763.17
Units Sold:	3,213 Units
Orders:	565

Returning customers contribute slightly more revenue and profit, while AOV remains almost identical across both segments — suggesting limited difference in basket value.

PAYMENT–MARGIN TRADE–OFF

- ✓ **Card:** Highest volume, but lowest margin (35.2%).
- ✓ **UPI:** Highest margin (36.1%) with lower volume.
- ✓ Focus: Improve margin on high-volume Card orders.

DISCOUNT PATTERN

- ✓ **Card:** Highest discount (11.4%) and lowest margin.
- ✓ **UPI**: Lowest discount (10.2%) and highest margin.
- ✓ Focus: Review Card discounts for profitability.

CUSTOMER MIX IS BALANCED

- ✓ Revenue split is nearly even: 48.6% New vs 51.4% Returning.
- ✓ Returning customers contribute slightly more revenue and profit.
- ✓ Focus: Balance acquisition with retention efforts.

EXECUTIVE TAKEAWAY: UPI combines the strongest AOV and margin profile, while Card generates the highest volume but at a lower margin. Customer mix remains balanced, with returning customers contributing slightly more revenue and profit despite virtually identical AOVs.

Strategic Action Roadmap

QUICK WINS (0 – 3 MONTHS)

Protect Margin on High-Demand Products

- Reduce discounting on products such as Veg Pizza, where strong demand is accompanied by a 27.73% margin and 11.81% average discount. Test a lower discount cap before considering price increases.

Push High-Margin Products

- Increase visibility of French Fries, Cold Coffee and other 40%+ margin products through app placements and targeted promotions to build demand without heavy discounting.

Shift from Discounts to Bundles

- Use combinations such as Paneer Roll + Cold Coffee and Garlic Bread + Iced Tea to increase basket value while pairing high-volume products with higher-margin items.

Use Targeted Digital Offers

- Use small, targeted incentives for digital-payment users instead of broad discounts, helping encourage adoption while keeping promotional costs controlled.

LONG-TERM INITIATIVES (3 – 12 MONTHS)

Move Toward Data-Driven Pricing

- Introduce demand- and margin-based pricing reviews to identify products with room for controlled price adjustments.

Establish a Menu Engineering Framework

- Classify products by volume, margin and profitability and review the portfolio regularly to decide which products to promote, reprice or reposition.

Set Discount Guardrails

- Create product-level discount thresholds and monitor whether promotions generate enough additional sales to justify the margin sacrificed.

Build Predictive Demand & Personalization

- Use historical sales and customer behaviour to forecast demand and develop targeted bundles and offers for different customer segments.

Thank You | Questions & Discussion

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